

uses relative strength momentum applied to individual stocks. The appropriate benchmark for it, according to Morningstar, is the Russell Midcap Growth Index.

Figure 6.5 shows how the PowerShares DWA Momentum Portfolio (PDP) matches up with iShares Russell Mid-Cap Growth (IWP). IWP has a lower annual expense ratio of 0.25% versus 0.67% for PDP, and a lower annual portfolio turnover of 25% versus 66%.



Figure 6.5 PowerShares DWA Momentum Portfolio and iShares Russell Mid-Cap Growth

SMARTER WAYS TO USE SMART BETA

William Sharpe and Eugene Fama have called smart beta (or fundamental indexing) a marketing ploy.⁴ George “Gus” Sauter, former chief investment officer at Vanguard Group, said, “These so-called smart betas are not by